ARC TRANSFORMATION GROUP

Define

Should this product exist?

Modules 01 to 03, and worksheets 1 to 6. The hypothesis, the evidence, and the boundary of the first version.

FIRST EDITION · $5

Colophon

Build and Ship are separate purchases. The skills, reference architectures, and workflow templates are in Ship.

Playbook	ARC Playbook: Define
Edition	First edition
Built	2026-10-07
Published by	ARC Transformation Group
In this file	Module 01 · Idea; Module 02 · Validation; Module 03 · Product; Worksheets 1 to 6

Set in IBM Plex Sans and IBM Plex Mono. Typeset for US Letter; it prints on A4 with a slightly larger margin.

How to use this playbook

This file is **Define**. Define, Build, and Ship are three purchases. Buying this one leaves the other two where they are.

In this file

- Module 01 · Idea
- Module 02 · Validation
- Module 03 · Product
- Worksheets 1 to 6

The other two

Build — Modules 04, 05, and 07, with their worksheets. The system shape, the build order, and the checks before anyone relies on it.

Ship — Modules 06 and 08, their worksheets, and the three working libraries. How you grade it, how you launch it, and the files you adapt.

Read the modules in this file in order the first time. A module is done when its worksheet is filled in with something you would show another person. The worksheets are at the back of this PDF, and the same fields are in the ZIP as Markdown so they can live next to the project.

The page before the modules is the whole method, including the modules that live in the other two playbooks. It is there so you can see where this file sits. It is not a copy of those files.

The five-step system

Five steps, in the order that makes each one cheaper.

01 · Validate — Is this worth building at all? Turn the idea into a hypothesis with a named customer, a named problem and the evidence that would change your mind. `Modules 01, 02`

02 · Define — What exactly are we building, and what are we not? Value proposition, the one workflow that matters, the requirements, and an explicit list of what the MVP excludes. `Module 03`

03 · Architect — How will this hold up once it is real? Application shape, AI components, data, integrations, infrastructure and the build sequence that follows from them. `Modules 04, 05`

04 · Harden — How do we know it works, and what happens when it does not? Evaluation criteria for the AI itself, then security, privacy, monitoring and the operational load you are taking on. `Modules 06, 07`

05 · Launch — How does anyone find it, and how do we know it worked? Distribution, pricing, the measures that matter, and how you iterate once real users arrive. `Module 08`

Why this order

The argument is cost, not tidiness.

Finding out nobody wants it costs a conversation in step 01. It costs a rebuild in step 03, and a failed launch in step 05.

Deciding what the MVP excludes costs an argument in step 02. Deciding it after the architecture exists costs you the parts of the architecture that only existed to support the thing you just cut.

Setting an evaluation threshold costs ten minutes in step 04. Setting it after you have seen the results costs you the ability to believe your own numbers, because a threshold chosen afterwards is a description of what you already wanted to do.

The one page version

> Decide who it is for and what would change your mind. Decide the single workflow and write down what you are not building. Draw the system and mark the line where the AI starts. Decide what "working" means before you measure it, then make it safe to operate. Pick one channel, set a price you can defend, and name the two numbers that decide whether to keep going.

Everything after this page is that paragraph with the trade-offs filled in.

What this Playbook does not cover

Worth knowing before you spend the time:

- **Fundraising.** Nothing here is about a deck or a round.
- **Hiring and team design.** The method assumes between one and five people.
- **Model training.** The assumption throughout is that you are composing existing models, not training your own. If you are training, modules 04 and 06 still apply but they are not sufficient.
- **Regulated-sector compliance.** Module 07 covers security and privacy as engineering work. It is not a substitute for advice on a specific regime.

Module 01 · Idea

The decision. What is the one-sentence claim this product makes, and what would have to be true for it to be worth building?

Why it is cheaper here. An idea stated as a sentence can be argued with. An idea stated as a working prototype can only be defended, because by then you have paid for it. The cost of changing your mind rises with every hour of build time, and it rises fastest right after the first demo gets a polite reaction.

The work

Write the hypothesis as one sentence

Use this shape, and resist the urge to improve it:

> **For** [a specific person] **who** [has a specific problem], **this gives them** [a specific outcome] **instead of** [what they do today].

Four slots. If any slot contains a category rather than a specific — "for teams", "for businesses", "for developers" — you do not have a hypothesis yet, you have a market. Narrow it until a real person you could name fits in the first slot.

The fourth slot is the one people skip. "Instead of nothing" is almost never true. Whatever your product does, someone is currently doing it with a spreadsheet, an intern, a Slack channel, or by tolerating the problem. That is your real competitor, and it is usually much stronger than the obvious alternative because it already has their trust and costs nothing to keep using.

Name the riskiest assumption

List everything that has to be true for the sentence to hold. You will get somewhere between five and fifteen items. They fall into four kinds:

Kind	The question	Typical failure
Demand	Do they want this outcome enough to change behaviour?	They agree it is a problem and keep doing it the old way.
Capability	Can the technology actually produce the outcome reliably?	It works in the demo and fails on real inputs.
Access	Can you reach these people at a cost the price supports?	The product works and nobody finds it.
Workflow	Does the outcome fit where they already work?	It requires them to open one more tab, so they do not.